IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT-V

COMPANY PETITION NO. (CAA)- 42 (ND)/2022
IN
COMPANY APPLICATION NO. CA (CAA)-63 (ND)/2021

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION
AMONGST

LIFESTAR PHARMA PRIVATE LIMITED
..Petitioner Company No.1 /
Transferor Company No.1

AND

MAGNET LABS PRIVATE LIMITED
… Petitioner Company No. 2/
Transferor Company No. 2

AND

MANKIND PHARMAPRIVATE LIMITED
… Petitioner No. 3/
Transferee Company

THEIR RESPECTIVE SHAREHOLDERS & CREDITOR

ORDER DELIVERED ON : 02.03.2023

Coram:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

ORDER

PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

This Petition is preferred jointly by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (**'Scheme'**), as contemplated between the Petitioner Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The Appointed date as fixed for the Proposed Scheme of Amalgamation is 01.04.2021. The details of the Companies proposed to be amalgamated, as placed on record are as under:-

a) M/s. Lifestar Pharma Private Limited, ("Petitioner Company No.1/Transferor Company No.1") was incorporated on the 14.12.2004 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: U24232DL2004PTC131232 having its registered office situated at 208, Okhla Industrial Estate, Phase -3, New Delhi, South Delhi, Delhi, 110020.

b) M/s. Magnet Labs Private Limited, (hereinafter referred to as "Petitioner Company No. 2/Transferor Company No.2") was incorporated on the 17.04.1998 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: 51397DL1998PTC093307 having its registered office situated at 208, Okhla Industrial Estate, Phase -3, New Delhi, South Delhi, 110020.

c) M/s. Mankind Pharma Limited ("Petitioner Company No.3 /Transferee Company") was incorporated on the 03.07.1991 under the provisions of the erstwhile Companies Act, 1956 as a private limited company bearing CIN: 4899DL1991PLC044843 and having its registered office situated at 208, Okhla Industrial Estate, Phase -3, New Delhi, South Delhi, Delhi, 110020.

2. The Petitioner Companies submit that the rationale for the present Scheme of Amalgamation between the Petitioner Companies are as follow:-

   a) The amalgamation of three Companies will result in the consolidation of the business operations undertaken by the Transferor Company 1, Transferor Company 2 and Transferee Company.

   b) The amalgamation would result into reduction of Inter-company transactions inter-se between the Transferor Company 1. Transferor Company 2 and the Transferee Company.

   c) The amalgamation of Companies will result in the consolidation of the value in Transferee Company and align the field-force and support functions in both Transferor companies with Transferee Company.

   d) As a result of amalgamation, there would be reduction in number of the companies leading to reduction in compliance requirements.

   e) The amalgamation will result in reduction in overheads, administrative, managerial and other expenditure, and optimal utilization of various resources due to consolidation of activities.

   f) The amalgamation of the companies will lead to greater efficiency in cash management of the Transferee Company and access to cash flow generated by the combined business.

   g) The Scheme shall be beneficial and in the best interests of the shareholders and creditors of the Transferor Company 1 Transferor Company 2 and the Transferee Company and all concerned.

3. From the records, it is seen that the First Motion petition was jointly filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. This Tribunal in the First Motion Application bearing No. CA (CAA) No.63 (ND) 2021, vide Order dated 03.01.2022 dispensed with the requirement of convening the meeting of the Equity Shareholders, Secured Creditors and Un-Secured Creditors of Transferor Company 1 and

Transferor Company 2. The Transferee Company had been directed to hold meeting of its equity shareholders on February 19, 2022.

4. The meeting of the Equity Shareholders of the Transferee Company was held on 19.02.2022 at 11:30 a.m. and was attended by 13 shareholders of the Transferee Company, out of a total of 19 equity shareholders and the proposed scheme of Amalgamation was approved with 100% voting in favor of approving the Scheme of Amalgamation. The Chairperson of the meeting had duly submitted the chairperson report in Form CAA-4 along with scrutinizer report stating the result of meetings of the equity shareholders of Transferee Company on 28.02.2022 before the Hon'ble Tribunal vide e-filing number 071010204235202l/8. Therefore, the requirement of convening the meeting of the Secured Creditors and Unsecured Creditors of Transferee Company has been dispensed with.

5. Subsequent to the First Motion Order dated 03.01.2022, the Second Motion Petition was jointly moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and other sectoral regulators who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted vide order dated 06.06.2022 of this Tribunal and directions were issued, by this Tribunal, requiring the Petitioner Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed Scheme and also to carry out necessary publication in the “Business Standard” English and Hindi newspapers with respect to the said Scheme.

6. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service and Publication dated 18.07.2022 by confirming that the aforesaid Notices of the present Company Scheme Petition were published on 30.06.2022 in "The Business Standard", English and "The Business Standard" Hindi edition, newspapers Delhi edition. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.

7. It is submitted by the Petitioner Companies that the compliance with respect to accounting treatment has been made as certified by the Statutory Auditor's Certificate, certifying that the proposed accounting treatment included in the Scheme among the petitioner companies is in compliance with the applicable Accounting Standards specified under the Section 133 of the Companies Act, 2013.

8. The Official Liquidator has filed its report dated 22.08.2022, wherein it is stated that on the basis of the information submitted by the Petitioner Companies, the Official Liquidator is of the view that the affairs of the aforesaid Transferor Company No.1 and Transferor Company No.2 do not appear to have been conducted in a manner prejudicial to the interest of its members or to the public interest in terms of the provisions of the Companies Act, 2013.

9. The Income Tax Department has filed its report dated 20.01.2023 in respect of Transferor Company No.1 and Transferor Company No.2 before this Tribunal and submitted that certain tax demands are pending against the Transferor Company No.1 as well as against the Transferor Company No.2, therefore, undertakings from the Transferor Companies regarding payment of outstanding demand and assurance for any taxes was sought.

10. In response to the Income Tax Department report, the transferee Company had submitted affidavit cum indemnity dated 23.01.2023 in favour of Government of India (Ministry of Finance) i.e., Income Tax Department for keeping indemnified against the tax demand of Rs.45,93,912/- and Rs. 3,03,73,001/- pending against the Transferor Company No.1 and Transferor Company No.2 respectively.

11. The Transferee Company vide affidavit dated 21.01.2023 undertakes that the payment of Income Tax shall not be hampered in anyway pursuant to the merger of Transferor Company No.1 and Transferor Company No.2 into the Transferee Company and any tax liability arising (past, present or future) shall be duly paid by the Transferee Company. Further, as per clause 7.1.5, 7.1.7 and 7.1.8 of the Scheme of Amalgamation, the Transferee Company unconditionally undertakes to honor the past, present and future liability, if any, relating to any tax demand raised by the Income Tax Department.

12. The Regional Director vide his report dated 22.08.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 28.10.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarifications and undertaking to address the observations made by the Regional Director. The details of which are summarized below:

Observations	**Observations, of the Regional Director vide report dated 22.08.2022**	**Reply of the Petitioner Companies vide Affidavit dated 28.10.2022**

10 (i)	Refer to Clause 13.1. of the Scheme, the Transferee Company may kindly be directed to comply with the provision of Section 232(2)(i) of the Companies Act, 2013 in regard to fee payable on its revised Authorized Share Capital.	In regard to fee payable on revised Authorized Share Capital, the Petitioner Companies undertakes to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013.
11 (i)	The Petitioner Companies may be directed to give clarification with documentary evidence stating whether they have filed due satisfaction of charges in compliance with the provisions of section 82 of the Companies Act, 2013 by filing requisite e-form CHG-4 with the ROC in respect of the Transferor Companies, and also clarification for differential amount of loan/borrowings (current/non-current) in respect of the Transferee Company as reported by the ROC.	In respect of the open charge of Transferor Company 1 and 2 against a loan worth Rs. 30 crore and Rs. 10 crore from HDFC Bank was pending since 20.01.2018 and 28.07.2017 respectively, the credit facilities have not been utilized by the Transferor Company 1 and 2, therefore, there is no such non-current liability appearing in the financial statements submitted along with the application. Further, Transferor Company 1 has closed the said charge, accordingly, Form CHG-4 for satisfaction of charge has also been filed with the Registrar of Companies vide SRN AA0000996 dated 10th September, 2022. In respect to the open charge of Transferee Company amounting Rs. 815 Crore appearing on MCA21 but not tallying as per the financial statements submitted along with the application, it is submitted that the Transferee Company has availed lesser facility amounting to Rs. 95 Crores as against the sanctioned facility as per the audited financial statements for the year ended 31st March, 2021. Accordingly, the

		amount of Rs. 95 Crores being the amount of credit facility availed has been duly reported in the financial statements of the Transferee Company for the year ended 31st March, 2021.
11 (ii)	The Para 8 of the Scheme speaks about the accounting treatment of the Assets and Liabilities of the Transferor Companies in the books of account of the Transferee Company post sanction the Scheme. The present scheme partakes the merger of both the Transferor Companies with the Transferee Company wherein, the Transferor Companies are wholly owned subsidiaries of the Transferee Company thereby no consideration will be paid to the shareholders of the Transferor Companies by the Transferee company. But while transferring the Assets & Liabilities of the Transferor Companies in the books of the Transferee Company, the investments of the Transferee Company made with the Transferor Companies shall be cancelled, hence it should be shown as NIL in the	The Petitioner Companies confirms that in respect with the requirement of IND AS 103/AS-14 as applicable for the amalgamation, the accounting treatment specified in the Scheme of Amalgamation filed with the Hon'ble NCLT is in accordance with the requirement of IND AS 103/AS -14 as applicable for the amalgamation and as certified by the Auditors' of the Transferee Company vide their certificate dated 16.06.2021, wherein the auditors have certified that the accounting treatment prescribed in the Scheme is in conformity with the Appendix C of Indian Accounting Standard 103 (Business Combinations of entities under common control) notified under Section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standard) Rules, 2015 as amended from time to time and other generally accepted accounting principles.

	books of the Transferee Company on post-merger. The differential amount of the Net Assets acquired (i.e. Gross Assets mimus Gross Liabilities) against the value of investment shall be treated as Capital Reserve in the books of the Transferee Company, since the surplus if any arose is not generated from the operational activities of the said company, on the company if there is deficit, that should be adjusted against the reserves of the Transferee Company. In view of the above, it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to modify the scheme to bring it in compliance of the requirement of Accounting Standards – 14.	

The Regional Director had submitted its additional Affidavit report dated 21.11.2022 in response to the reply and explanations given by the Petitioner Companies wherein the Regional Director had raised no further observations/objections and during the arguments has stated that, “the reply

submitted by the Petitioner Companies may be considered in the matter for passing appropriate orders by this Hon'ble Tribunal."

13. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of the petitioner Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Income Tax Department or any other interested party and the observations made by them have been satisfied by indemnity affidavit filed by the Transferee Company, there does not appear to be any impediment in granting sanction to the proposed Scheme of Amalgamation.

14. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013.

15. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (the Applicants/Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

16. Notwithstanding the above, if at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation is found to be committed, the sanction granted by this Tribunal to the Scheme will not come

in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

17. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law will be made. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

18. This tribunal further directs with respect to Transferor companies (Petitioner Company No. 1-2) and Transferee company (Petitioner Company No.3), that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation and arrangement i.e., 01.04.2021, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company is entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations,

stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

19. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this Order, cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

20. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

The Company Petition bearing **(CAA) 42 (ND)/2022 is allowed in the above terms.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N. PRASAD)
MEMBER (J)